ORDINANCE NO. 495

AN ORDINANCE LEVYING A PERMANENT ONE-PERCENT (1%) SALES AND USE TAX WITHIN THE CITY FOR THE PURPOSE OF PROVIDING STREET IMPROVEMENTS AND FUNDING GENERAL OPERATIONS OF THE CITY; CALLING AND SETTING A DATE FOR A SPECIAL ELECTION TO REFER TO A VOTE OF THE PEOPLE THE QUESTION OF LEVYING THE TAX; DEFINING "SINGLE TRANSACTION"; AND PRESCRIBING OTHER MATTERS PERTAINING THERETO.

WHEREAS, the City of Rector, Arkansas (the "City") is a city of the second class duly organized and existing under the laws of the State of Arkansas (the "State"); and

WHEREAS, pursuant to Arkansas Code Annotated sections 26-75-201 *et seq.* (Repl. 1997 & Supp. 2003) (the "Authorizing Legislation"), the City can levy a permanent one-percent (1%) city-wide sales and use tax and utilize the proceeds of the tax to provide street improvements and to fund general operations of the City; and

WHEREAS, the purpose of this Ordinance is to submit to the electors of the City the question of approving the levy of the sales and use tax at a special election called for that purpose;

NOW, THEREFORE, BE IT ORDAINED BY THE CITY COUNCIL OF THE CITY OF RECTOR, ARKANSAS THAT:

SECTION 1. Under the authority of the Authorizing Legislation, there is hereby levied a one-percent (1%) tax on the gross receipts of the sale at retail by vendors within the City of all items which are subject to the Arkansas Gross Receipts Tax Authorizing Legislation of 1941, as amended (A.C.A. Section 26-52-101, *et seq.*); and the imposition of an excise (or use) tax on the storage, use, distribution, or other consumption within the City of tangible personal property subject to the Arkansas Compensating Tax Authorizing Legislation of 1949, as amended (A.C.A. Section 26-53-101, *et seq.*), at the rate of one-percent (1%) of the sale price of the property or, in the case of leases or rentals, of the lease or rental price (collectively, the "Sales and Use Tax"). The Sales and Use Tax shall be levied and collected only on the first $2,500 for each single transaction.

SECTION 2. The term "single transaction" shall be defined as follows:

a. When two or more devices in which, upon which or by which any person or property is, or may be, transported or drawn, including but not limited to, on-road vehicles, whether required to be licensed or not, farm vehicles, off-road vehicles, airplanes, water vessels, motor vehicles, or non-motorized vehicles, and mobile homes, are sold to a person by a seller, each individual unit, whether part of a "fleet" sale or not, shall be treated as a single transaction for the purpose of the Sales and Use Tax.

b. The charges for any utility services, which are subject to the Sales and Use Tax, and which are furnished on a continuous service basis, whether such services are paid daily, weekly, monthly or annually, shall be computed in daily increments, and each such daily charge increment shall be considered to be a single transaction for the purpose of the Sales and Use Tax.

c. For sales of building materials and supplies to contractors, builders or other persons, a single transaction for the purpose of the Sales and Use Tax, shall be deemed to be any single sale which is reflected on a single invoice, receipt or statement, on which an aggregate sales (or use) tax figure has been reported and remitted to the State of Arkansas.

d. When two or more items of major household appliances, commercial appliances, major equipment and machinery are sold, each individual unit shall be treated as a single transaction for the purpose of the Sales and Use Tax.

e. For groceries, drug items, dry goods and other tangible personal property and/or services not otherwise expressly covered in this section, a single transaction shall be deemed to be any single sale which is reflected on a single invoice, receipt or statement, on which an aggregate sales tax figure has been reported and remitted to the State of Arkansas.

In the event the General Assembly enacts legislation affecting the definition of "single transaction," then the definition adopted by the General Assembly shall replace the definition provided herein.

SECTION 3. There be, and there is hereby, called a special election to be held on April 13, 2004, at which election there shall be submitted to the electors of the City the question of levying and collecting the aforesaid Sales and Use Tax for the purpose of providing street improvements and funding general operations of the City.

SECTION 4. The question shall be placed on the ballot for the election in substantially the following form:

There is submitted to the qualified electors of the City of Rector, Arkansas, the levy and collection of a permanent 1% local sales and use tax within the City to be levied and collected only on the first $2,500 of each single transaction, the proceeds of which shall be used to provide street improvements and to fund general operations of the City.

Vote on the question by placing an "X" in one of the following squares, either for or against:

FOR adoption of a permanent one-percent (1%) local sales and use tax within the City of Rector, one-half percent (1/2%) of which shall be used for street improvements, and one-half percent (1/2%) of which shall be used for general operations of the City.

AGAINST adoption of a permanent one-percent (1%) local sales and use tax within the City of Rector, one-half percent (1/2%) of which shall be used for street improvements, and one-half percent (1/2%) of which shall be used for general operations of the City.

SECTION 5. The City Recorder/Treasurer is hereby authorized and directed to give notice of the election by a single publication in a newspaper having a general circulation within the City, the publication to be not less than ten (10) days prior to the date of the election.

SECTION 6. The election shall be held and conducted and the vote canvassed and the results declared in the manner provided for municipal elections under the election laws of the State as then in effect, and only qualified voters of the City shall have the right to vote at the election.

SECTION 7. The results of the election shall be proclaimed by the Mayor, and said proclamation shall be published one (1) time in a newspaper having general circulation in the City and shall advise that the results as proclaimed shall be conclusive unless attacked in the Circuit Court of Clay County within thirty (30) days after the date of publication.

SECTION 8. A certified copy of this Ordinance shall be given to the Clay County Board of Election Commissioners so that the necessary election officials and supplies may be provided.

SECTION 9. The Mayor and City Recorder/Treasurer, for and on behalf of the City, be, and they are hereby, authorized and directed to do any and all things necessary to call and hold the special election as herein provided.

SECTION 10. In the event a majority of the qualified electors voting on the question approve the levy of the Sales and Use Tax, such tax shall become effective, enforceable, and collectible on the first day of the first month of the calendar quarter subsequent to the expiration of thirty (30) days from the date of publication of the Mayor's Proclamation of the election results.

SECTION 11. The Sales and Use Tax shall not be repealed or reduced except as specifically provided in the Authorizing Legislation.

SECTION 12. If any part of this Ordinance is held invalid, such invalidity shall not affect any other portion of this Ordinance.

SECTION 13. All ordinances and parts thereof in conflict herewith are hereby repealed to the extent of such conflict.

PASSED AND APPROVED this March 11, 2004.

By: Ron Kemp
Ron Kemp, Mayor

ATTEST:

Kenneth R Burns
Ken Burns, Recorder/Treasurer

(SEAL)